

Year-end Income Statement and Balance Sheet

Varnholt Climate Services LLC

For the year ended December 31, 2023

(Unaudited — see accountant’s compilation report)

Accountant’s Compilation Report

Management is responsible for the accompanying financial statements of Varnholt Climate Services LLC, which comprise the balance sheet as of December 31, 2023 and the related statement of income for the year then ended, in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements. Management has elected to omit substantially all of the disclosures ordinarily included in financial statements prepared in accordance with accounting principles generally accepted in the United States of America.

Vale & Reed CPAs LLP · Tazmervale, ZZ

August 31, 2026

Statement of Income

Total revenue	\$1,200,000
Cost of goods sold	\$570,500
Gross profit	\$629,500
Salaries and wages	\$295,227
Rent	\$76,186
Utilities	\$13,332
Insurance	\$19,999
Vehicle and fuel	\$24,760
Depreciation	\$28,570
Professional fees	\$11,428
Other operating expenses	\$39,998
Total operating expenses	\$509,500
Net income	\$120,000

Balance Sheet

ASSETS	
Cash	\$170,000
Accounts receivable, net	\$120,000
Inventory	\$60,000
Prepaid expenses	\$10,000
Equipment and vehicles, net	\$140,000
Total assets	\$500,000
LIABILITIES AND MEMBERS’ EQUITY	
Accounts payable	\$30,000
Accrued liabilities	\$15,000
Current portion of long-term debt	\$10,000
Long-term debt, less current portion	\$45,000
Total liabilities	\$100,000
Members’ equity	\$400,000
Total liabilities and members’ equity	\$500,000